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February 25, 2025

By: Reinhardt

An Act relating to the Office of Management and Enterprise Services; amending 74 O.S. 2021, Section 85.58B, which relates to the Risk Management Program; updating statutory language; prohibiting Office of Management and Enterprise Services from promoting or marketing certain insurance products; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 74 O.S. 2021, Section 85.58B, is amended to read as follows:

Section 85.58B. A. The Risk Management Administrator, pursuant to the provisions of this section and Section 85.34 of this title, may obtain or provide insurance coverage for any vehicle, vessel or aircraft used for or in ~~fire fighting~~ firefighting or services provided by the districts, departments and services specified in subsection D of this section and may obtain or provide indemnity coverage for any board member, official, employee or volunteer of any entity specified in subsection D of this section for any errors and omissions or liability risks arising from the performance of their official duties pursuant to law.

1       B. The Risk Management Administrator, pursuant to the  
2 provisions of this section and Section 85.34 of this title, may  
3 obtain or provide insurance coverage for any building used for or in  
4 ~~fire fighting~~ firefighting or services specified in subsection D of  
5 this section. If a fire department, district or service specified  
6 in subsection D of this section is housed in a building with any  
7 department or unit of local governmental entities, the Risk  
8 Management Administrator may also obtain or provide building or  
9 structure insurance coverage for such department or unit in such  
10 building.

11       C. The Risk Management Administrator is authorized to determine  
12 eligibility criteria for participation in the Risk Management  
13 Program by such districts, departments and services or for such  
14 member, officer, employee or volunteer. In addition, the Risk  
15 Management Administrator is authorized to establish equipment and  
16 safety standards for the vehicles, vessels, aircraft or buildings to  
17 be covered by the Risk Management Program.

18       D. The Risk Management Administrator may obtain or provide the  
19 insurance coverage authorized by subsection A of this section for:

20       1. Fire protection districts organized and operated pursuant to  
21 the provisions of Sections 901.1 through 901.29 of Title 19 of the  
22 Oklahoma Statutes;

23       2. Volunteer or full-time fire departments established pursuant  
24 to Section 592 of Title 18 of the Oklahoma Statutes;

1        3. Municipal fire departments organized and operated pursuant  
2 to the provisions of Sections 29-101 through 29-108, and Sections  
3 29-201 through 29-205 of Title 11 of the Oklahoma Statutes;

4        4. Fire protection services established pursuant to the  
5 provisions of Section 351 of Title 19 of the Oklahoma Statutes; and

6        5. Rural fire coordinators employed by substate planning  
7 districts acting pursuant to rural fire defense programs.

8        E. The governing authorities of such fire departments, fire  
9 protection districts and fire protection services shall be required  
10 to make payments for such insurance coverage as provided by Section  
11 85.37 of this title.

12        F. Requests for the insurance or indemnity coverage provided  
13 pursuant to the provisions of this section shall be submitted in  
14 writing to the Risk Management Administrator by the fire  
15 departments, fire protection districts or fire protection services  
16 specified in subsection C of this section. Those fire departments,  
17 fire protection districts or fire protection services meeting  
18 eligibility criteria shall be approved for participation in the Risk  
19 Management Program by the Risk Management Administrator if the  
20 member, officer, employee or volunteer, and the vehicles, vessels,  
21 aircraft and buildings used by districts, services or departments  
22 meet the equipment and safety standards and eligibility requirements  
23 established by the Risk Management Administrator.

1       G. Any insurance or indemnity coverage shall be obtained or  
2 provided solely from funds available in the shared risk pool  
3 authorized by Section 85.34B of this title. Any coverage limits  
4 shall be based on the liquidity of the shared risk pool resulting  
5 from the annual payments made pursuant to Section 85.37 of this  
6 title and any interest accrued thereon, after deduction of such sums  
7 as may be necessary to pay all overhead and administrative expenses  
8 associated with administering the pool.

9       H. Any limited indemnity coverage provided for errors and  
10 omissions pursuant to the provisions of this subsection shall only  
11 cover errors or omissions made by a board member, official, employee  
12 or volunteer of any entity specified in subsection C of this section  
13 occurring after the effective date of this act.

14       I. The State of Oklahoma is not liable, directly or indirectly,  
15 for the errors and omissions of any board member, official, employee  
16 or volunteer of any entity specified in subsection C of this section  
17 in the performance of his official duties pursuant to law. The  
18 State of Oklahoma is not liable, directly or indirectly, for the  
19 negligence of any entity specified in subsection C of this section.

20       J. In providing risk management services for any entity  
21 specified by subsection C of this section or any such board member,  
22 official, employee or volunteer of such entity, it is the intention  
23 of the Legislature to provide coverage solely to the extent of  
24

1 assets in the shared risk pool created by Section 85.34B of this  
2 title.

3 K. Any liability insurance coverage obtained or provided shall  
4 include expenses for legal services obtained or provided by the Risk  
5 Management Administrator.

6 L. Except as provided in this section, the Office of Management  
7 and Enterprise Services shall not promote or market other forms of  
8 insurance in conjunction with the Risk Management Program provisions  
9 provided in this section.

10 SECTION 2. This act shall become effective November 1, 2025.

11 COMMITTEE REPORT BY: COMMITTEE ON RETIREMENT AND GOVERNMENT  
12 RESOURCES

13 February 25, 2025 - DO PASS  
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